Lecture 16 (2026-08-30)

Quick Summary

This section covers the preparation of the Cash Flow Statement using the **Indirect Method**, specifically focusing on calculating **Cash Flow from Operations (CFO)**. The primary logic involves adjusting the Net Profit (PAT, EBT, or EBIT) by "removing" non-cash and non-operating items to isolate the cash generated by core operations. While a Direct Method exists, it is rarely used in practice; the Indirect Method is the standard for most reporting and exams.

Key Definitions

- **Cash Flow Statement (Indirect Method):** A method of calculating cash flow by starting with a profit figure (like PAT) and adjusting it for non-cash items and changes in working capital.
- **Operating Profit (EBIT):** Earnings Before Interest and Taxes; represents profit from core operations.
- **EBT:** Earnings Before Tax.
- **PAT:** Profit After Tax (Net Profit).
- **Commission and Royalty:** These are categorized as **Operating** in nature; therefore, they remain in the operating calculation and do not need to be "removed."
- **Non-Cash Expenses:** Expenses like Depreciation, Amortization, and **Bad Debts** that do not involve an actual outflow of cash during the period.
- **Cash Management Activity:** Specifically refers to moving cash from one account to another (e.g., moving funds to a current account or petty cash). This is a subset of cash activities that does not involve a change in the type of asset/liability, only its location.
- **Non-Cash Activity:** Any transaction where no actual cash is involved. Examples include transactions "on credit," "conversions" (e.g., debt to equity), or "exchanges" (e.g., debt for equipment).
- **Hire Purchase:** A contract where an item (like a plant) is acquired via installments. It involves both an operating component (rent/interest) and an investing component (the principal/capital cost of the asset).
- **Commercial Paper:** A short-term debt instrument (e.g., 60 days). While short-term, it is classified as a **Financing** activity, not an operating one.
- **Interest Income:** Categorized as an **Investing** activity. It is not a core business operation.
- **Finance Cost (Interest Expense):** A non-operating/financing cost. Because it is a "cost" (negative in the P&L), it must be "removed" by adding it back to the operating calculation.

Worked Examples

The following table represents the logic used to transition from a Profit and Loss statement to the Cash Flow from Operations using the indirect method.

Calculation Logic for Cash Flow from Operations (Indirect Method):

Item	**Action**	**Reasoning**
Operating Profit (EBIT)	Starting Point	
Less: Interest	-	(To reach EBT)
Less: Tax	-	(To reach PAT)
PAT		

Add: Depreciation & Amortization	**Add**	These are non-cash expenses. Since they were subtracted in the P&L to reach profit, they must be added back to "remove" their effect on the cash calculation.
Less: Other Income	**Subtract**	Most "Other Income" (Interest income, Dividend income, profit from sale of assets) are non-operating/investing/financing. They must be removed. *Note: Commission/Royalty are operating and stay.*
Add: Finance Cost	**Add**	This is a non-operating/financing cost. Because it is a "cost" (negative in the P&L), it must be added back to "remove" it from the operating calculation.
Add: Bad Debts	**Add**	Bad debts are non-cash expenses. Since they are "expenses" (negative in the P&L), they must be added back to "remove" their effect.
Less: Gain on Sale of Assets/Investments	**Subtract**	A "Gain" is a non-cash, non-operating item that was added to the P&L. It must be subtracted to "remove" it.
Add: Loss on Sale of Assets/Equipment	**Add**	A "Loss" is a non-cash, non-operating item that was subtracted in the P&L. It must be added back to "remove" it.
Less: Increase in Current Assets (excl. cash)	**Subtract**	An increase in assets (like accounts receivable) means cash is "locked" or tied up and not available.
Add: Increase in Current Liabilities	**Add**	An increase in liabilities (like accounts payable) means you are "free_freeing" cash by not paying immediately.
Result	**CFO**	**Cash Flow from Operations**

Calculation Logic for Specific Working Capital Items (Indirect Method):

Item	**Action**	**Reasoning**
Inventories Decreased	**Add (+)**	A decrease in inventory means items were sold/moved, "freeing" cash from the inventory.
Trade Receivables Increased	**Subtract (-)**	An increase in receivables means cash is "locked" in the hands of customers.
Trade Payables Decreased	**Subtract (-)**	A decrease in payables means you paid your suppliers; cash has "left" the company.
Income Tax Payable Increased	**Add (+)**	An increase in a liability means you are "holding" onto that cash rather than paying it out yet.

Categorization Logic for Cash Activities: The following items are classified based on whether cash is involved, and if so, whether it relates to operations, investment, or financing.

Item	**Classification**	**Reasoning**
Disposed of equipment at a gain	**Investing**	Sale of a long-term asset.
Entered into a finance lease for a new machine	**Non-cash**	No cash is involved in the immediate transaction of entering the lease.
Sold equipment for cash at carrying amount	**Investing**	Sale of a long-term asset.

Issued convertible debentures for cash	**Financing**	Raising capital through debt.
Paid festival bonus to employees	**Operating**	Related to core operations/personnel.
Collected insurance proceeds from a patent infringement suit	**Operating / Investing**	Can be either depending on if the patent is viewed as a core operational asset.
Paid cash on maturity of bills payable for purchase of goods	**Operating**	Related to inventory/operations.
Paid settlement of suit for trademark infringement	**Operating**	Related to operations.
Purchase of 60-day certificate of deposit	**Cash Management**	Short-term movement of cash to another account.
Issued equity shares on conversion of debentures	**Non-cash**	No cash involved; it is a conversion of debt to equity.
Acquired a machine on hire purchase	**Non-cash**	No cash is involved in the immediate acquisition.
Issued equity shares at 200 crores	**Financing**	Issuing equity for capital.
Write-off of a receivable (customer insolvent)	**Non-cash**	No cash is involved; the right to receive cash is simply removed.
Issued equity shares in exchange of preference shares	**Non-cash**	No cash involved; it is an exchange of equity types.
Received cash on maturity of bills receivable	**Operating**	Receipt of payment for goods/services.
Paid suppliers	**Operating**	Transaction related to inventory.
Receive dividend from an associate	**Investing**	You are receiving a return on an investment.
Sold investments at a gain	**Investing**	Sale of an investment.
Purchase copyrights for cash	**Investing**	Acquisition of a long-term asset.
Issue debentures in exchange for equipment	**Non-cash**	No cash involved; it is an exchange.
Paid interest on bank overdraft	**Cash Management**	Managing cash within the business.
Purchase investment for cash	**Investing**	Purchase of an investment asset.
Paid advance to a supplier of equipment	**Investing**	Although an "advance," it is for a long-term asset (Equipment).
90-day treasury bill	**Cash Management**	Short-term management of cash.
Collected installments for sale of old plant	**Investing**	Sale of an asset.
Disposed of equipment at a gain	**Investing**	Sale of an asset.
Sold equipment for cash at carrying amount	**Investing**	Sale of an asset.
Convertible debentures for cash	**Financing**	Raising capital.
Paid installments for purchase of inventories	**Operating**	Relates to inventory/operations.
Collected installments from sale of inventories	**Operating**	Relates to inventory/operations.
Paid income tax	**Operating**	Standard operating obligation.
Paid a dividend	**Financing**	Payment to shareholders.

Issued debentures	**Financing**	Issuance of debt.
Entered into hire purchase for a new plant	**Investing**	Acquisition of an asset.
Issued commercial paper (60 days)	**Financing**	It is a debt instrument; short-term does not make it "Operating."
Received interest on investment in Treasury bill	**Investing**	It is an investment return. (Note: Can be "Cash Equivalent" if extremely short-term).
Exchanged equipment for shares	**Non-cash**	No financial transaction (exchange of assets).
Made a two-year loan to a subsidiary	**Investing**	We are the giver of the loan (Investment), not the receiver.
Paid principal amount of price for installment purchase	**Investing**	Payment for a plant/asset.
Converted non-current loan into equity share	**Non-cash**	No cash involved; conversion of debt to equity.
Transferred cash to a six-month deposit account	**Cash Management**	Movement of cash between internal accounts.
Dispose of investment at a loss	**Investing**	Sale of an investment asset.
Exchange a building for a plant	**Non-cash**	Asset for asset exchange.
Repaid bank overdraft	**Cash Management**	Repayment of a very short-term bank facility.
Sold goods for cash	**Operating**	Core business transaction.
Issued shares at par	**Financing**	Raising equity capital.
Disposed of patents at a gain	**Investing**	Sale of a long-term asset.
Made a down payment for the purchase of equipment	**Investing**	Payment for a long-term asset.
Constructed a building for own use	**Investing**	Capital expenditure for a long-term asset.
Sold a plant	**Investing**	Sale of a capital asset.

Sample Calculation Table (Transaction Analysis):

Transaction	Calculation	Reasoning
Purchase investment (6,500)	**- 6,500**	Cash outflow for an investment.
Sold investment (3,800, loss 400)	**+ 3,800**	The full sale value is the cash inflow. The "loss" of 400 is a non-cash calculation used for P&L it is ignored in the Investing cash flow calculation.
Constructed a building (7,800)	**- 7,800**	Capital expenditure (Investment) - cash outflow.
Sold a plant (5,200)	**+ 5,200**	Cash inflow from selling an asset.

Formulas & Rules

Rule for "Removing" Items: To calculate Cash Flow from Operations, you must remove items that are non-cash or non-operating.

- If the item is a **negative** value in the P&L (e.g., Depreciation, Interest, Finance Cost, Bad Debts), **Add** it to the calculation to "remove" it.

    - If the item is a **positive** value in the P&L (e.g., Other Income, Gain on Sale), **Subtract** it from the calculation to "remove" it.

  Working Capital Adjustments:

    - **Current Assets (Excluding Cash):** If they increase, **Subtract** the increase (Cash is "locked"). If they decrease, **Add** the decrease (Cash is "freed").
    - **Current Liabilities:** If they increase, **Add** the increase (Cash is "freed"). If they decrease, **Subtract** the decrease (Cash is "gone").
- **Offer/Demand Logic:** To determine if an item belongs in "Cash Flow from Operations," it must be at the **intersection** of "Cash" and "Operating."

  The "Cash" Filter: Before deciding if an item is Operating, Investing, or Financing, first ask: **"Is cash involved?"**

    - If **No**, it is a **Non-cash** activity.
    - If **Yes**, it is a **Cash activity**; proceed to categorize as Operating, Investing, or Financing.

Tricky Logic & Traps

- **The "Remove" Logic:** Students often struggle with whether to add or subtract items like Depreciation or Interest. The rule is: To remove an item's impact from the calculation, perform the opposite of what was done in the P&L. Because Depreciation is a non-cash expense (it was subtracted in the P&L), it must be **added** to the calculation.

  Difference in Starting Points (The "Interest" Trap): The treatment of Interest depends entirely on where you start:

    - **Starting from PAT:** Interest is already accounted for as a cash flow; no adjustment is needed for Interest (though you still add Depreciation).
    - **Starting from EBT:** Interest was subtracted to reach EBT. To "remove" it from the calculation, you must **add** it.
    - **Starting from EBIT:** Interest has not been subtracted yet. Since it is a financing item, you **do not** add it back.
- **Commission and Royalty Exception:** These are often grouped under "Other Income" in some reports, but they are **Operating** in nature. They should **not** be subtracted because they relate to core sales operations.
- **Tax Payable / Outstanding Expenses:** Do not treat "Outstanding Expenses" or "Tax Payable" as separate items for adjustment. These are already captured in the **Current Liabilities** section of the balance sheet. If current liabilities increase (which includes these items), they are already "added" back in the working capital step.
- **Cash Management vs. Cash Activity:** A "Cash Management" activity is a specific type of cash activity where cash is simply moved between accounts (e.g., petty cash to current account). Not all cash activities are "Cash Management." If you are simply moving cash from one "pocket" to another, it is Cash Management.
- **The "Credit" / "Exchange" Rule:** If a transaction involves terms like **"on credit," "conversion," "exchange,"** or **"hire purchase,"** it is often a **Non-cash** activity because no cash is changing hands at the time of the agreement/transaction.

  Dividend Rule:

    - **Receiving** a dividend = **Investing** (Return on an investment).
    - **Paying** a dividend = **Financing** (Payment to shareholders).
- **Advancement for Assets:** "Paid advance to a supplier of equipment" is an **Investing** activity. Even though it is a "prepayment" (which sounds like a current liability/operating item), the fact that it is for **equipment** (a long-term asset) makes it an investing activity.
- **Interpretation of Assets vs. Income:** To determine if an item is Investing or Operating, look at what the item *is*. If it is an **Asset** (like machinery, property, or patents), it relates to investment. If it is an **Income** or **Expense** from daily operations (like sales, salaries, or tax), it is operating.
- **Hire Purchase Breakdown:** A hire purchase for a plant contains two parts. The **rent/interest** portion of the payment is **Operating**. The **principal** portion of the payment is **Investing**.
- **Security Deposits:** Deposits (like those paid to secure a lease or equipment) are **Investing** because they are returns of capital, not operating expenses.
- **Short-term vs. Operating:** Do not assume "short-term" means "operating." Instruments like **Commercial Paper** (e.g., 60 days) are **Financing** activities.
- **Giving vs. Receiving Loans:** If you are **giving** a loan to a subsidiary, it is an **Investment**. If you are **taking** a loan (e.g., from a bank), it is **Financing**.

- **Sale of Asset vs. Profit on Sale:** When calculating Cash Flow from **Investing**, use the **entire cash value** of the sale. The "Profit" or "Loss" of that sale is not a cash item; it is only relevant when "removing" non-cash items from the Operating section.
- **Calculation of "Remove" logic (Logic check):** If a question asks for Cash Flow from Operating, you do not care about the "Profit" or "Loss" of a sale. You only want to know if it was a "Gain" or a "Loss" so you can remove that non-cash component from the P&L. The actual cash received (e.g., 55,000) is handled entirely in the Investing section.

  Difference between "Offer" and "Demand" on Cash:
  - **Demand:** Items that "consume" or "hold" cash (e.g., Inventory, Receivables). If these increase, you **subtract** them from the cash flow.
  - **Offer:** Items that "provide" or "free" cash (e.g., Payables). If these increase, you **add** them to the cash flow.
- **Payables/Liabilities Trap:** Be careful with the wording of "Payables." If a liability like "Trade Payables" **decreases**, it means you have paid out cash to your suppliers; therefore, you must **subtract** that amount from the cash flow.
- **Contextual Interpretation of Ratios:** Some questions regarding ratio interpretation (e.g., "High Inventory Turnover") can be "tricky" because the interpretation depends heavily on the specific industry or regional context (e.g., comparing Indian auto firms to U.S. counterparts).

Exam Pointers

- When calculating Cash Flow from Operations, identify the starting point (PAT, EBT, or EBIT) immediately to determine how to treat Interest and Tax.
- If the question provides "Other Income," check if it includes Commission or Royalties before deciding whether to subtract it.
- Remember the "Locking" vs. "Freeing" logic for assets and liabilities to determine the +/- sign for working capital.
- **Primary Filter:** Always ask "Is cash involved?" first. If the answer is No, classify as **Non-cash**.
- **Investment Distinction:** If a payment is for a long-term asset (e.g., equipment, patent, land), it is **Investing**, even if it is a "prepayment" or "advance."
- **Cash Management Identification:** Items like 90-day treasury bills or moving money to a current account are **Cash Management**, not standard Operating or Investing.
- **Short-term Trap:** Be careful with items like Commercial Paper; just because they are short-term (e.g., 60 days) does not make them "Operating."
- **Sales of Asset Logic:** When an item is sold, only the amount of cash received matters for the Investing section. The profit/loss figure is ignored in that specific calculation.
- **Gain/Loss Calculation:** If you see a "Gain on Sale" in the P&L, it is a non-cash item added to the profit; you must **subtract** it in the operating section. If you see a "Loss on Sale," it is a non-cash item subtracted from profit; you must **add** it back in the operating section.
- **Identify Core vs. Non-Core:** Interest Income, Dividends, and Gains on Investment are **not** core business; they belong in Investing or Financing.
- **Exam Structure:** Approximately 70-80% of the exam is expected to be numerical.
- **Core Prerequisites:** Ensure a clear understanding of the **Accounting Equation** and basic **Accounting Concepts** to successfully tackle the numerical components.

Sources

- cash flow statement-2026.pptx
- cash flow statement-2026.xlsx